T-12 OPERATING STATEMENT

Garnet Cottages | Seattle, WA

Property	Garnet Cottages
Period Ending	July 5, 2020
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	155 homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	335,043	330,318	360,335	335,484	331,400	334,092	370,598	359,521	350,040	376,252	374,461	346,418	4,203,962
4010 Loss to Lease	226,248	227,825	212,364	201,505	217,538	204,478	226,932	212,327	207,158	226,139	209,496	209,974	2,581,984
4020 Vacancy Loss	186,417	207,470	197,341	204,461	193,745	200,345	190,961	187,712	191,477	197,230	202,009	194,639	2,353,807
4030 Concessions	254,840	281,759	273,787	251,379	273,891	276,631	262,871	274,910	288,316	253,029	282,758	285,190	3,259,360
4040 Bad Debt	44,605	46,119	48,629	45,275	46,315	46,739	46,556	48,540	48,094	45,195	49,954	46,966	562,989
4050 Late Fees	285,098	260,481	275,172	282,659	274,254	267,054	277,594	254,358	285,508	275,120	286,957	258,358	3,282,613
4060 Utility Reimbursements	137,789	144,085	148,651	139,925	143,343	145,531	141,062	138,247	141,005	147,622	139,320	140,217	1,706,797
4070 Parking Income	195,181	194,108	210,904	210,156	197,818	203,134	215,563	203,417	192,663	192,321	206,257	198,248	2,419,771
4080 Application Fees	82,978	85,768	84,248	84,666	78,954	85,683	78,775	79,940	84,829	81,395	75,834	82,653	985,725
4090 Pet Rent	294,298	305,599	287,056	311,108	290,211	317,131	296,343	324,010	325,540	286,152	303,717	291,889	3,633,054
4100 Laundry Income	205,382	221,759	233,859	213,618	222,507	218,663	229,641	228,491	216,876	204,816	220,224	210,999	2,626,835
4110 Cable/Internet Revenue	235,555	233,784	247,818	239,335	253,187	237,904	237,866	247,261	259,556	246,126	260,254	258,042	2,956,687
4120 CAM Reimbursements	71,228	72,657	71,119	67,214	68,677	75,403	70,262	73,929	71,767	68,112	76,886	68,224	855,478
4130 Tax Reimbursements	205,478	214,502	212,319	207,027	215,099	201,070	201,424	202,064	205,991	203,177	206,892	200,787	2,475,832
4140 Insurance Reimbursemen	26,559	28,816	26,690	26,094	25,735	28,647	28,834	27,968	29,346	28,026	26,974	27,052	330,742
4150 Percentage Rent	206,678	210,067	224,341	216,028	222,407	224,950	220,340	207,786	218,631	200,995	212,959	209,651	2,574,833
4160 Misc. Income	171,461	180,909	163,839	172,034	171,069	167,097	180,771	173,760	171,925	176,277	181,053	169,048	2,079,242
4170 Payroll - Management	30,242	33,439	29,914	31,727	32,256	29,937	33,366	32,451	30,751	33,774	31,533	29,517	378,907
4180 Payroll - Leasing	36,458	34,966	34,538	34,511	33,993	36,778	34,766	33,867	34,798	36,981	34,008	33,943	419,607
4190 Payroll - Maintenance	28,753	31,121	31,300	31,500	29,881	32,401	30,755	29,649	31,622	30,475	28,912	29,870	366,237
4200 Payroll Taxes & Benefits	28,215	28,898	27,641	30,056	26,757	27,731	29,469	27,791	29,994	28,222	27,403	30,086	342,265
4210 Repairs - Plumbing	35,600	34,350	37,827	33,648	35,121	38,028	33,821	38,548	35,361	35,545	36,729	35,570	430,148
4220 Repairs - HVAC	4,203	3,930	4,081	4,140	3,896	3,777	3,984	4,059	3,704	3,976	3,796	4,213	47,761
4230 Repairs - Electrical	36,000	33,835	32,988	35,268	36,744	36,036	34,106	34,653	32,742	35,570	32,763	34,037	414,742
4240 Repairs - Appliances	37,178	39,250	38,230	36,576	37,120	37,437	38,555	36,861	39,032	36,808	39,701	38,842	455,590
4250 Painting & Decorating	32,039	31,412	29,921	29,300	29,085	30,009	30,889	29,432	31,939	31,700	29,842	30,493	366,061
4260 Flooring	32,146	32,769	35,179	34,166	33,836	32,513	31,563	32,612	31,884	35,330	35,082	31,767	398,847

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	39,134	36,816	41,621	39,635	41,625	38,642	37,827	39,686	36,473	38,619	37,368	41,436	468,882
4460 Management Fee	34,493	34,937	36,956	38,295	38,069	39,635	35,942	34,734	38,648	35,048	36,704	34,984	438,447
4470 Property Insurance	12,431	12,629	12,031	12,978	11,785	12,722	12,469	12,712	12,492	12,310	12,566	12,783	149,907
4480 Real Estate Taxes	28,472	28,081	25,598	26,873	26,580	26,866	28,473	26,076	25,322	28,975	27,010	25,631	323,956
4490 Asset Management Fee	24,945	25,357	25,292	25,236	25,421	25,601	24,215	24,326	23,246	25,636	23,636	25,280	298,192
4500 Replacement Reserves	24,591	25,027	23,190	25,552	24,253	25,249	25,577	25,864	25,167	24,364	26,037	24,691	299,561
4510 Roof Repairs	43,703	39,056	39,397	43,085	41,779	40,472	43,985	40,892	43,097	40,654	38,574	42,709	497,403
4520 Parking Lot Repairs	28,192	26,831	28,820	28,713	27,051	28,435	28,567	29,039	28,444	27,466	27,819	25,990	335,368
4530 Signage	41,500	39,064	41,460	38,913	42,117	38,217	39,861	37,027	37,756	39,608	37,848	37,908	471,280
4540 Tenant Improvements	23,119	24,192	23,528	24,741	24,598	24,343	24,582	23,726	23,780	25,076	22,727	25,555	289,968
4550 Leasing Commissions	38,934	38,726	41,020	36,605	38,040	38,269	39,758	41,434	38,056	39,044	40,910	37,864	468,659
4000 Gross Potential Rent	363,951	336,285	334,642	359,100	375,213	362,691	335,335	366,165	364,223	341,678	346,411	373,699	4,259,392
4010 Loss to Lease	186,707	189,976	198,914	184,648	184,049	206,790	203,929	189,744	184,611	185,527	195,434	194,756	2,305,083
4020 Vacancy Loss	115,034	116,519	109,961	106,872	116,295	107,760	107,424	112,447	104,888	117,001	103,210	115,698	1,333,111
4030 Concessions	277,629	286,222	278,672	280,487	260,118	280,067	284,443	291,571	260,346	284,207	283,599	259,976	3,327,336
4040 Bad Debt	11,535	11,800	11,443	11,622	11,376	11,070	11,312	12,056	11,608	11,018	12,122	11,895	138,856
4050 Late Fees	231,719	205,557	226,476	205,611	227,247	231,165	221,717	219,559	227,282	203,342	226,424	222,919	2,649,017
4060 Utility Reimbursements	299,842	300,411	318,899	316,709	298,505	295,376	334,202	335,774	325,573	301,018	328,252	331,465	3,786,024
4070 Parking Income	109,156	109,543	116,906	115,723	120,052	118,399	118,455	119,271	110,642	119,914	115,069	109,856	1,382,987
4080 Application Fees	291,313	302,409	307,885	323,228	290,377	289,857	299,095	311,556	287,586	323,231	314,792	308,042	3,649,371
4090 Pet Rent	50,720	49,321	47,759	51,759	52,687	49,940	53,465	49,062	50,110	48,274	49,260	53,124	605,482
4100 Laundry Income	270,033	259,461	257,202	262,302	251,703	256,096	270,413	268,073	250,460	262,718	262,718	262,333	3,133,512
4110 Cable/Internet Revenue	34,609	35,100	34,060	37,228	38,563	35,398	35,530	37,737	34,986	36,354	36,126	37,024	432,716
4120 CAM Reimbursements	184,031	180,107	178,708	184,940	171,100	174,363	179,193	184,714	168,729	179,626	171,807	172,688	2,130,005
4130 Tax Reimbursements	71,986	76,463	70,669	76,495	73,833	70,388	76,897	77,743	76,342	70,957	72,919	74,012	888,704
4140 Insurance Reimbursemen	109,106	108,274	100,343	97,819	102,288	103,345	99,744	108,405	100,080	104,694	100,896	108,919	1,243,915
4150 Percentage Rent	195,517	181,336	186,719	177,482	187,083	185,411	190,896	198,434	180,635	186,947	194,059	193,757	2,258,277
4160 Misc. Income	298,660	308,212	290,978	313,069	306,048	295,824	299,453	304,736	288,134	290,213	311,856	312,811	3,619,993
4170 Payroll - Management	29,908	30,889	30,361	29,558	32,181	32,097	28,920	32,480	31,435	28,959	31,574	31,189	369,554
4180 Payroll - Leasing	4,424	4,690	4,481	4,339	4,435	4,457	4,486	4,497	4,190	4,664	4,384	4,123	53,170
4190 Payroll - Maintenance	38,564	39,128	40,048	43,209	40,108	40,723	40,310	40,747	43,109	40,878	41,928	41,731	490,484
4200 Payroll Taxes & Benefits	32,013	32,672	33,089	31,220	32,779	34,735	34,574	31,381	34,605	32,351	31,310	30,920	391,648
4210 Repairs - Plumbing	35,348	35,416	32,392	36,985	33,543	35,737	35,270	34,452	35,088	33,555	36,619	36,851	421,255
4220 Repairs - HVAC	18,417	17,468	18,620	18,032	17,797	18,254	18,139	19,116	19,899	18,204	17,359	18,237	219,542
4230 Repairs - Electrical	5,950	5,953	5,677	5,725	5,799	6,007	5,502	5,779	6,105	6,270	5,987	5,674	70,429
4240 Repairs - Appliances	31,765	33,605	32,496	29,608	31,220	32,639	30,585	33,797	31,477	30,759	30,679	33,281	381,910
4250 Painting & Decorating	36,635	38,583	37,372	38,512	35,774	40,432	38,373	37,443	38,398	38,298	39,704	40,791	460,315
4260 Flooring	33,452	32,845	32,208	32,939	29,827	30,186	30,424	31,436	31,440	33,104	30,670	30,855	379,385
4270 Make-Ready / Turnover	15,225	16,227	15,511	16,451	16,080	14,578	15,746	14,851	16,587	16,183	16,289	16,300	190,029
4280 Landscaping Contract	36,416	35,920	38,610	40,262	36,419	38,321	39,770	38,003	40,840	39,182	38,353	38,176	460,273
4290 Snow Removal	13,898	13,959	14,264	14,299	13,050	12,907	12,886	13,431	13,500	12,712	13,584	14,326	162,817
4300 Janitorial	40,926	42,126	42,166	38,096	42,285	39,084	42,040	42,024	38,243	41,819	41,263	40,000	490,072
4310 Pest Control	14,741	15,563	15,040	16,498	15,986	16,509	14,656	15,730	16,304	15,195	15,289	14,613	186,124
4320 Trash Removal	16,694	17,215	16,155	16,890	16,729	16,143	15,525	17,287	17,056	15,597	16,082	16,961	198,336
4330 Elevator Contract	34,271	34,050	33,396	34,462	37,647	37,573	34,042	35,000	33,381	33,494	34,399	37,633	419,347

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Financial Analysis

Operating expenses totaled $244,000 or approximately 36.53 per square foot, with real estate taxes representing the largest line item. Turn costs average $147,000 per home, and the in-house maintenance team handles most work orders within 17 days. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Homes average 1,161 square feet with average monthly rent of $2,161. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $85,000, representing a 3.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Operating expenses totaled $177,000 or approximately 22.32 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 45 hours. Turn costs average $68,000 per home, and the in-house maintenance team handles most work orders within 23 days. Homes average 1,161 square feet with average monthly rent of $2,161.

Turn costs average $173,000 per home, and the in-house maintenance team handles most work orders within 28 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 9 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Operating expenses totaled $424,000 or approximately 26.64 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Effective gross income for the trailing period was $454,000, representing a 4.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Debt service coverage ratio was 7.27x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 6.13x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $437,000 or approximately 6.13 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Turn costs average $120,000 per home, and the in-house maintenance team handles most work orders within 47 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Leasing and Marketing

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Turn costs average $374,000 per home, and the in-house maintenance team handles most work orders within 2 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Service requests are tracked through a work-order system with an average completion time of 36 hours.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Homes average 1,161 square feet with average monthly rent of $2,161. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Collections for the period were 88.9% of billed charges, with bad debt of 4.6% of gross potential income.

Income and Expense Review

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4320 Trash Removal	8,410	8,697	9,134	8,588	8,141	8,604	8,525	8,352	8,992	8,263	8,203	8,576	102,486
4330 Elevator Contract	4,010	3,960	3,833	4,117	4,172	4,137	3,796	3,868	4,239	4,073	3,716	3,951	47,873
4340 Fire & Life Safety	18,929	17,788	18,069	19,383	19,105	18,227	18,670	17,690	20,000	18,635	17,862	18,781	223,137
4350 Security	23,475	25,507	26,538	25,353	25,162	26,316	26,280	24,492	24,620	24,937	24,445	24,884	302,008
4360 Electricity - Common	13,765	14,428	13,297	13,612	12,784	13,913	12,649	13,418	14,147	12,680	13,460	13,202	161,354
4370 Gas - Common	10,198	9,201	9,700	9,184	9,677	9,830	9,024	9,009	9,846	9,458	9,330	8,957	113,414
4380 Water & Sewer	21,189	19,330	20,302	21,047	20,051	21,461	19,955	21,861	21,698	21,354	20,960	20,813	250,021
4390 Telephone/Internet	3,779	3,736	3,548	4,008	3,624	3,741	3,628	3,730	4,019	4,042	3,882	3,763	45,498
4400 Advertising	33,185	32,496	34,188	31,350	31,797	33,318	33,634	30,642	31,505	33,074	31,804	31,024	388,017
4410 Resident Events	4,143	4,377	4,362	4,142	4,155	4,110	3,963	4,198	3,955	4,060	3,875	3,840	49,180
4420 Office Supplies	37,025	35,457	35,264	37,506	35,428	39,169	35,786	37,959	37,322	37,379	38,450	39,128	445,873
4430 Legal & Professional	35,057	35,431	37,772	35,207	39,303	36,125	40,084	38,419	39,015	36,120	36,776	40,069	449,377
4440 Accounting & Audit	19,844	20,679	18,361	20,713	19,018	20,640	19,756	20,788	18,829	18,648	19,875	20,206	237,357
4450 Licenses & Permits	10,138	11,220	11,041	11,157	10,539	9,886	10,235	11,098	10,139	10,704	10,890	11,079	128,124
4460 Management Fee	13,266	13,923	12,213	12,924	13,571	13,855	12,238	13,380	12,887	12,962	13,301	12,638	157,159
4470 Property Insurance	24,874	27,546	25,563	24,318	25,722	24,475	26,555	24,930	26,669	27,034	24,093	25,415	307,192
4480 Real Estate Taxes	6,429	6,020	6,058	6,370	6,076	6,403	5,851	5,979	6,441	5,946	6,087	6,237	73,896
4490 Asset Management Fee	8,342	8,038	7,397	7,944	7,663	7,441	7,493	7,863	7,800	7,850	7,980	7,854	93,665
4500 Replacement Reserves	7,349	6,849	6,577	7,269	6,905	7,315	6,883	7,055	6,479	6,473	7,148	7,166	83,468
4510 Roof Repairs	11,726	11,281	12,216	12,291	11,582	11,890	11,097	12,017	12,223	10,983	11,246	12,135	140,688
4520 Parking Lot Repairs	19,832	20,013	20,050	20,502	20,592	20,950	21,015	21,136	20,937	21,151	20,369	20,845	247,393
4530 Signage	24,118	25,457	24,475	24,148	22,504	23,301	23,452	23,126	23,224	22,269	25,351	24,296	285,720
4540 Tenant Improvements	24,222	25,276	26,291	24,350	25,427	24,444	25,828	26,201	26,022	25,643	24,710	26,003	304,417
4550 Leasing Commissions	8,230	7,787	7,485	7,867	7,310	7,942	7,715	7,797	7,825	7,842	8,163	7,432	93,394
4000 Gross Potential Rent	369,943	354,862	364,498	347,454	341,213	368,672	358,050	332,954	332,812	365,083	342,708	364,107	4,242,358
4010 Loss to Lease	123,779	135,464	123,940	130,085	119,770	121,897	130,898	134,158	136,217	133,683	136,062	121,254	1,547,208
4020 Vacancy Loss	306,680	289,319	303,108	317,212	299,790	296,758	281,986	299,503	294,105	289,981	285,900	287,642	3,551,983
4030 Concessions	69,121	66,466	63,235	67,306	65,117	62,269	65,005	65,050	62,510	61,550	66,932	63,025	777,586
4040 Bad Debt	244,763	250,322	237,230	237,018	232,886	258,250	253,847	254,283	244,268	238,584	239,822	246,617	2,937,893
4050 Late Fees	200,119	213,772	221,408	220,479	213,648	194,614	205,372	202,784	200,854	215,940	202,798	220,670	2,512,456
4060 Utility Reimbursements	304,652	271,052	289,266	297,356	308,471	272,313	297,535	293,333	306,782	288,261	292,610	290,751	3,512,383
4070 Parking Income	122,552	132,858	125,068	123,337	128,817	128,826	135,949	123,988	119,915	126,074	124,069	135,871	1,527,324
4080 Application Fees	318,697	302,828	284,821	286,732	307,899	306,713	318,361	303,542	293,510	284,783	280,903	302,506	3,591,294
4090 Pet Rent	86,392	90,187	91,556	93,942	95,912	87,639	86,422	89,541	97,396	86,786	97,388	93,422	1,096,582
4100 Laundry Income	244,617	240,649	276,334	249,624	271,992	243,319	256,278	258,564	262,597	241,974	264,235	269,608	3,079,794
4110 Cable/Internet Revenue	51,941	54,457	51,751	52,586	55,816	55,502	53,311	53,411	51,308	52,197	54,712	50,820	637,813
4120 CAM Reimbursements	283,447	267,623	280,768	256,960	276,192	251,226	280,673	253,996	286,680	269,950	267,686	261,714	3,236,914
4130 Tax Reimbursements	207,769	224,399	208,480	212,181	224,099	227,569	208,410	227,726	205,209	229,782	220,424	219,633	2,615,679
4140 Insurance Reimbursemen	16,555	17,214	15,329	17,534	16,838	16,815	15,552	15,315	17,022	16,669	17,101	16,855	198,801
4150 Percentage Rent	144,394	138,718	149,153	136,663	147,463	147,993	150,401	152,846	148,359	142,433	154,232	146,236	1,758,892
4160 Misc. Income	175,410	168,443	182,390	183,925	185,156	184,101	185,850	163,273	184,872	166,372	184,161	162,475	2,126,427
4170 Payroll - Management	25,764	27,749	29,152	28,188	28,996	28,292	28,084	27,462	27,777	26,658	27,454	27,847	333,423
4180 Payroll - Leasing	17,580	17,928	17,716	17,113	16,342	16,273	17,028	15,702	17,150	16,428	17,022	16,060	202,342
4190 Payroll - Maintenance	32,051	30,906	29,872	29,882	33,006	30,639	30,962	33,728	30,239	31,076	32,436	32,209	377,007

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Operating Performance

Turn costs average $187,000 per home, and the in-house maintenance team handles most work orders within 7 days. Effective gross income for the trailing period was $419,000, representing a 12.7% increase over the prior year. Operating expenses totaled $258,000 or approximately 42.32 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.01x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Homes average 1,161 square feet with average monthly rent of $2,161. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Turn costs average $269,000 per home, and the in-house maintenance team handles most work orders within 16 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Collections for the period were 96.4% of billed charges, with bad debt of 7.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 93.4% of billed charges, with bad debt of 7.2% of gross potential income. Turn costs average $193,000 per home, and the in-house maintenance team handles most work orders within 43 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $434,000 per home, and the in-house maintenance team handles most work orders within 14 days. Debt service coverage ratio was 5.74x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $111,000, representing a 8.2% increase over the prior year.

Homes average 1,161 square feet with average monthly rent of $2,161. Effective gross income for the trailing period was $459,000, representing a 9.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Operating expenses totaled $317,000 or approximately 29.17 per square foot, with real estate taxes representing the largest line item.

Management Commentary

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 11 hours. Turn costs average $438,000 per home, and the in-house maintenance team handles most work orders within 21 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Collections for the period were 90.5% of billed charges, with bad debt of 5.5% of gross potential income. Turn costs average $37,000 per home, and the in-house maintenance team handles most work orders within 40 days. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,161 square feet with average monthly rent of $2,161.

Income and Expense Review

Debt service coverage ratio was 5.65x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $425,000 per home, and the in-house maintenance team handles most work orders within 8 days. Operating expenses totaled $156,000 or approximately 11.13 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4230 Repairs - Electrical	24,848	26,471	26,339	24,988	26,231	26,171	24,341	25,654	26,937	24,478	24,533	24,721	305,712
4240 Repairs - Appliances	8,737	9,017	9,181	8,807	8,799	9,151	8,238	9,428	8,701	9,465	8,972	9,090	107,587
4250 Painting & Decorating	26,793	24,786	24,767	26,166	23,947	24,256	26,285	25,230	24,800	26,288	26,782	24,505	304,606
4260 Flooring	9,842	10,329	10,842	10,437	10,650	10,772	10,873	11,223	10,852	10,655	10,732	11,104	128,312
4270 Make-Ready / Turnover	37,492	39,081	37,038	38,124	39,193	36,778	35,248	39,216	39,000	38,798	38,772	37,158	455,896
4280 Landscaping Contract	24,373	25,533	24,031	25,484	26,942	26,518	27,095	27,408	27,107	24,193	25,054	26,838	310,577
4290 Snow Removal	34,635	34,909	35,514	38,199	33,807	37,212	37,210	34,692	37,127	34,599	36,481	37,092	431,477
4300 Janitorial	24,922	24,772	24,386	23,532	24,503	22,364	24,204	23,615	23,105	23,978	24,678	22,518	286,576
4310 Pest Control	13,585	13,927	13,711	13,824	14,515	13,490	13,887	13,573	14,688	13,131	14,222	13,865	166,418
4320 Trash Removal	34,364	34,320	36,151	39,201	34,847	34,407	34,413	34,563	36,739	39,282	38,324	39,311	435,923
4330 Elevator Contract	21,069	22,590	20,707	21,544	21,264	21,508	21,447	21,131	20,644	23,053	22,779	23,413	261,150
4340 Fire & Life Safety	29,757	30,460	26,882	28,755	27,572	29,406	27,842	27,571	28,225	28,839	29,072	29,214	343,595
4350 Security	18,072	17,281	18,329	19,127	18,125	18,526	19,062	18,104	18,632	18,478	17,865	18,470	220,071
4360 Electricity - Common	11,790	11,013	11,489	12,017	11,431	11,223	11,569	11,798	10,846	10,583	11,999	12,064	137,823
4370 Gas - Common	21,098	22,408	21,275	21,506	20,620	20,418	20,567	22,704	21,422	21,445	22,390	22,377	258,230
4380 Water & Sewer	25,858	25,880	26,944	27,474	26,850	27,297	27,839	24,779	26,245	26,283	24,723	27,587	317,760
4390 Telephone/Internet	15,953	16,058	17,338	16,856	16,115	16,473	16,956	16,695	16,571	16,203	15,466	16,650	197,334
4400 Advertising	41,509	41,938	41,508	43,224	43,193	38,793	41,357	43,666	38,445	40,820	42,116	38,814	495,382
4410 Resident Events	9,575	10,262	10,412	10,412	9,726	9,667	10,456	9,661	9,872	9,951	9,535	9,427	118,956
4420 Office Supplies	21,644	21,042	21,130	20,563	20,438	19,598	19,745	22,056	21,642	21,090	21,577	21,933	252,460
4430 Legal & Professional	5,309	5,809	5,418	5,664	5,963	5,963	5,461	5,562	5,677	5,753	5,542	5,966	68,088
4440 Accounting & Audit	36,102	40,153	37,856	38,568	39,763	40,198	36,354	39,030	39,022	35,878	38,965	39,960	461,850
4450 Licenses & Permits	32,325	32,025	31,528	33,097	29,273	30,868	31,271	30,899	28,924	30,801	32,137	29,677	372,827
4460 Management Fee	38,609	39,539	42,338	40,198	39,406	44,105	42,481	41,087	43,069	39,951	38,698	42,553	492,035
4470 Property Insurance	38,784	37,676	38,077	39,899	41,178	37,445	40,283	36,596	36,560	38,126	37,841	39,494	461,961
4480 Real Estate Taxes	4,929	5,111	4,513	4,589	4,976	4,600	5,053	4,608	5,054	4,876	4,926	4,803	58,039
4490 Asset Management Fee	8,643	8,452	8,772	9,375	8,414	9,357	8,997	8,272	8,355	8,655	8,748	8,180	104,221
4500 Replacement Reserves	38,629	38,317	36,440	36,263	35,542	36,199	35,670	34,712	38,040	37,608	35,758	35,233	438,412
4510 Roof Repairs	32,750	31,424	31,590	31,711	31,864	33,550	34,419	31,900	30,879	33,435	33,870	33,715	391,107
4520 Parking Lot Repairs	14,452	13,366	13,391	14,465	14,928	13,768	14,451	15,183	14,135	13,268	14,659	13,838	169,902
4530 Signage	16,618	16,974	16,318	16,786	17,842	16,561	17,534	15,881	16,918	17,013	18,078	16,427	202,948
4540 Tenant Improvements	26,252	25,925	26,152	26,285	24,785	26,153	27,464	26,464	27,983	27,417	26,993	24,847	316,720
4550 Leasing Commissions	18,494	17,695	16,854	16,547	18,309	18,459	17,442	17,922	18,038	16,674	17,002	16,902	210,339
4000 Gross Potential Rent	338,863	354,145	348,035	347,807	331,955	348,144	341,629	370,648	362,184	369,336	375,195	340,635	4,228,576
4010 Loss to Lease	291,940	289,661	297,887	281,035	295,295	296,228	268,986	303,416	273,434	293,519	282,186	279,633	3,453,220
4020 Vacancy Loss	166,163	174,276	163,229	177,791	168,758	164,219	166,972	177,273	180,406	183,990	164,724	170,951	2,058,750
4030 Concessions	115,956	116,661	109,020	121,287	113,820	108,152	112,356	110,102	118,377	117,604	122,866	116,301	1,382,502
4040 Bad Debt	241,611	244,013	247,098	244,869	237,147	224,538	248,769	248,970	236,564	251,316	233,059	229,318	2,887,272
4050 Late Fees	168,175	180,511	174,092	178,343	158,659	162,331	174,279	178,085	162,568	174,665	160,157	176,070	2,047,935
4060 Utility Reimbursements	275,468	269,379	268,132	247,977	279,706	250,198	277,380	278,308	259,230	260,855	270,879	282,853	3,220,365
4070 Parking Income	232,076	211,842	210,809	219,814	204,771	207,854	229,155	225,600	218,500	203,383	215,930	229,639	2,609,374
4080 Application Fees	225,952	248,797	240,872	229,574	252,082	228,802	227,713	233,845	249,664	240,909	233,778	249,655	2,861,642
4090 Pet Rent	90,656	94,584	100,177	97,799	90,556	94,933	98,770	100,311	90,687	90,383	87,768	98,145	1,134,769
4100 Laundry Income	211,182	213,919	225,873	240,787	233,212	230,195	215,615	238,753	236,822	216,206	218,237	229,594	2,710,396
4110 Cable/Internet Revenue	217,494	219,940	215,559	231,175	228,966	222,662	225,367	222,375	234,910	232,532	228,440	238,494	2,717,913

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Income and Expense Review

Effective gross income for the trailing period was $101,000, representing a 2.2% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $199,000 per home, and the in-house maintenance team handles most work orders within 14 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.82% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x.

Homes average 1,161 square feet with average monthly rent of $2,161. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $307,000 per home, and the in-house maintenance team handles most work orders within 23 days. Operating expenses totaled $359,000 or approximately 33.10 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $396,000, representing a 11.6% increase over the prior year.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Service requests are tracked through a work-order system with an average completion time of 5 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 7 hours. Homes average 1,161 square feet with average monthly rent of $2,161. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members.

Valuation Discussion

Debt service coverage ratio was 7.57x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $11,000 per home, and the in-house maintenance team handles most work orders within 45 days. Effective gross income for the trailing period was $282,000, representing a 10.7% increase over the prior year. Operating expenses totaled $432,000 or approximately 32.59 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $140,000 or approximately 18.35 per square foot, with real estate taxes representing the largest line item. Turn costs average $94,000 per home, and the in-house maintenance team handles most work orders within 18 days. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Debt service coverage ratio was 6.78x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 43 hours. Turn costs average $15,000 per home, and the in-house maintenance team handles most work orders within 20 days. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $293,000 per home, and the in-house maintenance team handles most work orders within 28 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Service requests are tracked through a work-order system with an average completion time of 34 hours.

Valuation Discussion

Debt service coverage ratio was 6.13x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $415,000 or approximately 22.58 per square foot, with real estate taxes representing the largest line item. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $92,000 per home, and the in-house maintenance team handles most work orders within 45 days.

The going-in capitalization rate of 8.15% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $397,000 or approximately 40.03 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $219,000 per home, and the in-house maintenance team handles most work orders within 2 days.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	27,323	27,865	26,350	25,345	28,140	27,578	28,682	25,551	27,191	26,985	25,465	25,817	322,291
4210 Repairs - Plumbing	32,237	34,900	32,863	33,529	31,704	32,475	33,724	31,362	33,013	34,159	34,741	34,997	399,703
4220 Repairs - HVAC	5,718	5,343	5,720	5,336	5,611	5,915	5,503	5,404	5,932	5,501	5,704	5,806	67,492
4230 Repairs - Electrical	19,265	20,052	18,375	18,947	19,986	18,686	19,434	20,427	18,920	19,489	18,719	19,409	231,709
4240 Repairs - Appliances	10,436	10,312	10,328	10,600	10,102	10,260	10,890	10,982	10,464	10,933	9,805	10,436	125,548
4250 Painting & Decorating	8,600	8,652	7,888	7,904	8,852	7,951	8,809	8,183	7,862	8,533	8,729	8,048	100,012
4260 Flooring	7,773	8,476	8,095	8,343	8,728	8,552	8,776	8,658	7,759	8,381	7,998	7,830	99,370
4270 Make-Ready / Turnover	39,498	38,239	40,596	40,333	39,002	39,211	37,717	38,301	38,202	40,222	40,410	39,264	470,996
4280 Landscaping Contract	31,473	30,164	30,549	30,242	28,789	30,368	31,767	28,495	30,269	29,035	28,631	30,057	359,839
4290 Snow Removal	20,661	19,661	20,588	21,235	21,578	20,998	20,149	19,741	21,680	19,844	19,516	20,037	245,688
4300 Janitorial	31,360	31,606	31,342	29,530	29,718	30,596	30,950	29,782	32,137	29,630	29,341	28,723	364,715
4310 Pest Control	13,505	13,579	13,688	13,203	13,672	13,805	13,691	13,121	12,893	13,487	12,614	13,528	160,787
4320 Trash Removal	22,470	21,977	24,499	22,563	23,351	21,581	24,637	24,651	21,997	23,962	22,243	21,829	275,758
4330 Elevator Contract	22,195	20,922	23,092	22,139	22,218	20,486	22,691	22,025	20,375	22,024	21,342	20,299	259,809
4340 Fire & Life Safety	39,766	40,840	38,038	37,843	39,028	35,693	39,740	38,015	39,254	35,576	37,808	35,611	457,214
4350 Security	12,252	12,592	12,159	12,853	11,966	11,954	12,247	12,511	12,431	11,812	13,010	11,945	147,734
4360 Electricity - Common	22,864	26,065	24,173	24,614	25,225	23,621	25,638	23,266	25,992	23,599	24,506	25,418	294,981
4370 Gas - Common	32,934	31,708	35,614	32,190	34,648	34,043	31,677	32,892	31,427	35,752	32,258	32,261	397,404
4380 Water & Sewer	28,915	31,551	31,342	30,590	31,294	31,109	30,061	31,684	31,332	29,022	31,366	31,845	370,110
4390 Telephone/Internet	26,109	24,824	26,160	22,832	24,754	23,491	23,582	22,935	24,143	22,799	23,175	25,700	290,506
4400 Advertising	24,620	25,894	24,427	24,639	25,378	25,855	26,404	25,045	26,085	26,083	24,992	24,435	303,855
4410 Resident Events	10,235	10,622	10,254	10,664	10,879	10,675	9,799	9,745	10,181	10,080	10,869	9,908	123,912
4420 Office Supplies	17,288	16,136	16,652	15,902	16,792	16,776	16,820	15,805	16,176	16,158	16,027	16,817	197,351
4430 Legal & Professional	22,996	22,802	22,778	23,715	23,761	23,780	21,401	23,844	21,166	23,364	23,833	24,068	277,507
4440 Accounting & Audit	14,781	14,716	14,095	14,864	14,044	13,880	15,078	15,139	14,675	14,974	14,290	13,877	174,414
4450 Licenses & Permits	4,805	4,869	4,512	4,702	4,552	4,509	4,620	4,842	4,807	4,539	4,570	4,651	55,978
4460 Management Fee	35,861	40,253	36,908	37,949	38,454	37,065	38,432	37,023	39,689	37,554	35,947	35,520	450,654
4470 Property Insurance	9,098	8,686	8,756	7,930	8,955	7,948	7,936	8,991	8,918	8,068	8,742	8,228	102,255
4480 Real Estate Taxes	35,319	32,517	33,035	36,260	32,354	36,021	34,337	32,357	34,332	35,691	36,348	35,529	414,101
4490 Asset Management Fee	38,480	42,947	39,256	40,144	40,867	41,524	41,455	39,850	40,076	41,202	41,271	38,395	485,466
4500 Replacement Reserves	22,825	21,283	23,025	22,982	22,779	22,870	21,659	20,881	22,608	22,617	20,715	20,923	265,167
4510 Roof Repairs	18,533	18,042	18,887	16,971	16,998	19,267	17,160	19,296	18,937	19,232	18,934	17,992	220,249
4520 Parking Lot Repairs	17,185	18,219	18,912	17,039	19,284	18,370	18,501	18,238	19,190	18,429	18,423	18,230	220,021
4530 Signage	34,299	33,796	35,260	34,773	31,506	34,859	33,041	31,878	31,810	33,186	33,540	34,676	402,624
4540 Tenant Improvements	16,887	16,525	15,943	16,421	16,245	16,256	16,757	16,401	17,164	15,888	16,027	16,097	196,611
4550 Leasing Commissions	42,115	38,224	41,916	41,083	38,559	42,753	42,897	42,734	37,612	42,158	39,384	42,278	491,715
4000 Gross Potential Rent	353,320	342,593	336,207	328,554	367,286	371,780	331,867	330,860	374,998	341,277	358,551	359,336	4,196,629
4010 Loss to Lease	313,803	306,634	307,677	276,560	300,672	311,889	291,853	291,981	281,367	291,861	279,720	277,669	3,531,686
4020 Vacancy Loss	131,190	137,445	133,819	142,217	136,177	135,234	126,597	129,545	135,418	129,395	130,729	143,228	1,610,994
4030 Concessions	94,386	87,654	84,100	84,295	84,405	91,354	92,728	93,489	84,127	88,005	87,568	85,557	1,057,669
4040 Bad Debt	142,590	147,421	153,231	143,806	154,703	153,845	146,143	156,142	155,641	146,634	152,361	148,424	1,800,940
4050 Late Fees	181,760	200,047	196,308	185,584	193,476	189,788	196,610	186,422	194,819	180,909	192,457	182,067	2,280,245
4060 Utility Reimbursements	279,781	302,917	302,014	310,442	295,355	289,844	277,386	274,882	281,417	308,959	305,539	290,132	3,518,667
4070 Parking Income	226,475	224,990	236,777	213,610	234,430	214,596	234,943	219,386	227,893	231,191	221,507	212,361	2,698,159
4080 Application Fees	174,258	173,487	158,626	164,795	158,108	178,384	173,758	159,374	173,000	158,542	174,827	167,357	2,014,516
4090 Pet Rent	50,170	49,483	47,286	49,943	47,101	46,391	49,724	49,751	45,987	46,719	44,897	46,806	574,258
4100 Laundry Income	21,364	21,093	23,038	23,929	22,460	22,549	24,175	22,005	23,745	21,288	22,466	21,627	269,740

Report generated 07/05/2020. Figures are unaudited and subject to change.

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Operating Performance

Turn costs average $210,000 per home, and the in-house maintenance team handles most work orders within 6 days. Operating expenses totaled $46,000 or approximately 28.38 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.86% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $372,000, representing a 2.7% increase over the prior year. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $326,000, representing a 5.0% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. The going-in capitalization rate of 7.70% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $277,000 per home, and the in-house maintenance team handles most work orders within 8 days.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $313,000 per home, and the in-house maintenance team handles most work orders within 40 days. Service requests are tracked through a work-order system with an average completion time of 34 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members.

Turn costs average $126,000 per home, and the in-house maintenance team handles most work orders within 17 days. Service requests are tracked through a work-order system with an average completion time of 40 hours. Homes average 1,161 square feet with average monthly rent of $2,161. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Valuation Discussion

Effective gross income for the trailing period was $392,000, representing a 5.2% increase over the prior year. Debt service coverage ratio was 7.63x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $330,000 or approximately 44.82 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.36% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $234,000 or approximately 13.82 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.12% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.34x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Collections for the period were 88.9% of billed charges, with bad debt of 4.5% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $375,000 per home, and the in-house maintenance team handles most work orders within 32 days. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 45 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Homes average 1,161 square feet with average monthly rent of $2,161. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

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Summary and Notes

Income and Expense Review

Homes average 1,161 square feet with average monthly rent of $2,161. The going-in capitalization rate of 6.60% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $306,000 or approximately 25.30 per square foot, with real estate taxes representing the largest line item. Turn costs average $394,000 per home, and the in-house maintenance team handles most work orders within 4 days. Effective gross income for the trailing period was $91,000, representing a 5.3% increase over the prior year.

Debt service coverage ratio was 5.18x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $65,000, representing a 11.7% increase over the prior year. Operating expenses totaled $194,000 or approximately 35.74 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

Property Operations

Homes average 1,161 square feet with average monthly rent of $2,161. Collections for the period were 89.8% of billed charges, with bad debt of 4.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 91.5% of billed charges, with bad debt of 3.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 39 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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